

DEBT & EQUITY

The \$229M Textile Building Refinancing: Floating-Rate Bridge Debt on a Stabilized Asset Is a Bet on Timing, Not Value

Walker & Dunlop's deal for 295 Fifth Avenue shows that even fully leased office needs expensive, short-dated capital.

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A source-grounded Light Tower Insight. The complete note follows.

The conventional reading of the Textile Building refinancing is that office liquidity has returned to Manhattan. A 100-year-old landmark, fully redeveloped and leased to tenants including Bridgewater, secures \$228.9 million in fresh debt. The headline writes itself: capital is flowing again.

But the structure tells a different story. The loan is floating-rate, interest-only, and bridge capital provided by a joint venture between Rialto Capital Management and Hines. That is not permanent financing. It is expensive, short-dated money on an asset that, by any measure, should qualify for the cheapest debt available.

The deal reveals less about the return of office liquidity than about the constraints still binding the market. Even a trophy repositioning with institutional sponsorship and blue-chip tenancy cannot command fixed-rate, long-duration debt at a cost that makes sense. The capital stack is being built with a clock attached.

Walker & Dunlop Capital Markets Institutional Advisory arranged the loan for the joint venture of PGIM, Tribeca Investment Group, and Meadow Partners. The property, 295 Fifth Avenue in Midtown South, underwent a comprehensive redevelopment that transformed it into a 707,181-square-foot Class A office tower. It is now leased to premier tenants, including Bridgewater Associates.

Those facts are strong. The asset is strong. The sponsorship is deep. The leasing momentum is real. Yet the debt is floating-rate bridge capital from a partnership between a distressed-debt specialist and a developer-lender. That is not the capital structure of an asset that has fully recovered. It is the capital structure of an asset that is still proving its post-redevelopment rent roll can justify a lower cost of capital later.

The mechanism at work is the gap between where office assets trade today and where long-term lenders need to see them. Fixed-rate, 10-year agency or life company debt requires a basis that supports a debt yield north of 10 percent and a loan-to-value ratio that leaves the lender comfortable with a 25 percent valuation decline. On a recently redeveloped office tower, the rent roll may not yet have

stabilized at a level that clears that bar. The building may be 90 percent leased, but if the leases are back-loaded with free rent, tenant improvement allowances, or step-ups that have not yet hit, the trailing 12-month net operating income is lower than the in-place leases suggest.

Bridge debt fills that gap. It is shorter, more expensive, and structured to be refinanced once the income stream matures. The lender takes construction or lease-up risk in exchange for a higher spread and a floating rate that passes interest-rate risk to the borrower. The borrower accepts that cost because the alternative is equity dilution or a forced sale at a discount.

That is the trade the Textile Building owners made. They are paying floating-rate interest on \$228.9 million because they believe the asset will generate enough income within two to three years to qualify for permanent debt at a lower all-in cost. If they are right, the bridge loan is a bridge to cheaper capital. If they are wrong, the bridge loan becomes a trap.

The cast of parties reveals the risk distribution. PGIM, Tribeca, and Meadow Partners are the equity. They have already invested the redevelopment capital and are now betting that the leasing momentum converts into stabilized NOI. Rialto and Hines are the bridge lenders. They are being paid a premium to take the risk that the income ramp takes longer than expected or that interest rates stay higher for longer. Walker & Dunlop is the arranger, collecting fees for matching the asset with the capital that fits its current risk profile.

Each party has a different clock. The equity holders need time for the rent roll to season. The bridge lenders want to be repaid or refinanced within a defined window. The arranger wants the deal to close and the next mandate to follow. The tension is between the asset's trajectory and the debt's maturity.

What should a market participant test next? For owners of recently redeveloped office assets, the question is whether their rent roll can support a fixed-rate refinancing within the bridge loan's term. For lenders, the question is whether the spread on bridge debt adequately compensates for the risk that interest rates do not decline and that the income ramp stalls. For investors, the question is whether the equity returns on these deals pencil out after floating-rate debt service eats into cash flow.

The Textile Building refinancing is not proof that office is back. It is proof that office can still attract capital, but only at a price and with a structure that reflects the market's uncertainty about timing. The asset is strong. The sponsorship is credible. The debt is expensive and short. That is the honest signal.

SOURCES

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<https://irei.com/news/walker-dunlop-arranges-229m-refinancing-for-100-year-old-manhattan-landmark/>

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